Human Resources Accounting

Introduction

Though the idea of accounting for human resources started many years back, the concept still lack general acceptability. This is because there are only few evidences of its application worldwide. Many authors and scholars conducted researches on how humans within an organization can be valued and reported in the financial statements of such organization. Valuable suggestion were made but still under criticism. These contribution increase the number, of applications of the concept but largely voluntary. An evidence of mandatory accounting and reporting of human resources by organizations was pronounced recently in Denmark commencing the year 2005. Some of the companies that applied human resources accounting in one way or the other includes the R.U Barry Corporation, Infosys and Reliance Industries in india and other companies in USA and Australia.

The wide increase in service companies globally where personnel knowledge, skills, expertise and experience are the key to their success make the human resources accounting a necessity. Organization do reports on capital and other assets in their financial reports but reporting nothing regarding human resources except as a charge in their income statements. Money spent on hiring, recruiting, training and developing human resources are expensed rather than capitalized. Nowadays, the amount invested by organizations on human resources is very large and call for a better way of reporting. The financial information contained in the financial statements of organizations is considered inadequate because of many reasons, which include inability to account and report human resources. Human resources are now widely accepted as one of the most important assets possessed by organizations. The initial obstacles encountered in the recognition of human resources as an asset rest largely on its characteristics. Qualification in monetary terms and the mode of reporting.

Definition.

Human Resources Accounting (HRA) as the process, which involves measuring the cost incurred by business firms and other organizations to recruit, select, hire, train and develop human asset. This gives a view as to what expenditure on the human resources should be recognized for valuation and reporting purpose.

Method of evaluating human resources

- Revenue factor: This is a basic measure of human capital effectiveness and it is the aggregate result of all the drivers of human resources management that influences employees' behaviour. This is calculated by taking the total revenue and dividing it by the total headcount of the organization
- Expense factor: This is equally a basic measure of human capital effectiveness. It shows the operating expenses per each employee in the organization. This expenses factor is calculated by taking the total operating.
- Income factor: This measure the operating income of the organization for each employee. This operating income is usually the profit before tax of the company. This factor is computed by taking the profit before tax and dividing it by the total head count of the organization.
- Compensation factor: This measures the compensation that is paid to individuals in the organization that is it shows the compensation that is paid to each employee. this measure

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is typically used by the Human Resources managers to identify the relative standing of salary levels within industry

- Compensation Revenue factor: these metric measures the percentage of compensation paid to employees in relation to the revenue that they generate over time, this measure show if the organization is obtaining more or less return on every amount it invest on its employees
- Compensation Expenses Factor: This metric describes how much was paid to employees as a percentage of overall operating expenses. This measure also shows the compensation cost structure of an organization.

- Revenue Factor = $\frac{\text{Total revenue}}{\text{Total head count}}$
- Expenses Factor = $\frac{\text{Total operating expenses}}{\text{total head count}}$
- Income Factor = $\frac{\text{Total operating income}}{\text{total head count}}$
- Compensation Expenses Factor = $\frac{\text{Compensation expenses x 100\%}}{\text{total head count}}$
- Compensation Revenue Factor = $\frac{\text{Compensation (proxy}}{\text{total head count}}$
- Compensation Factor = $\frac{\text{Compensation}}{\text{total head count}}$

Illustration

a) Human resource is a fundamental asset in an organization. Several measures of evaluating human resources have been identified. Outline any four (4) of these measure and explain its applications

b) Extract annual report and accounts of FEDPOS LTD

Year	Operating Income	Total Revenue	Total Expenses	Number of employees
2013	2,572, 500	5, 183,756	825,250	1,250
2014	3,120,000	7,216,100	1,050,220	1,180

Required; using appropriate formula for evaluating human resources compute the following for the relevant years.

(a) Revenue factor
(b) Income factor
(c) Expenses factor

Revenue factor
Total revenue
Total

Income
Total
Hc

Expens
Total exp
H.

2013
$\frac{5,183,756}{1250}$
$\frac{2572500}{1250}$
$\frac{825250}{1250}$

2014
$\frac{7216100}{1180}$
$\frac{3120000}{1180}$
$\frac{1050220}{1180}$

STATEMENT OF AFFAIRS AND DEFICIENCY ACCOUNT

FORMAT: STATEMENT OF AFFAIRS (INDIVIDUAL AND PARTNERSHIP)

GROSS LIAB. N	LIABILITES	EXPECTED TO RANK N	N	ASSETS		ESTIMATED TO REALIZE N
xx	Unsecured creditors		xx	cash in hand		xx
xx	Fully secured creditors	xx		cash at bank	xx	
	Value of security	(xx)		other non-current assets		
	Transfer to contra			(not used as securities)		xx
	(or 2nd Mortgage)	(xx)		Inventories		xx
xx	partly secured creditors	xx		Debtors: Good	xx	
	Value of security	(xx)	xx	Doubtful	xx	
xx	Bill discounted		xx	Bad	xx	
xx	Contingent Liability		xx	Surplus per contra		xx
xx	Creditors for rent		xx			xxx
xx	Preference creditors	xxx		Bill receivable		xx
						xxx
				Preference creditors (Salaries & wages)		(xx)
						xxx
	Surplus to Deficiency account		xxx	Deficit to Deficiency account		xxx
			xxx			xxx

Deficiency account

	N		N
Capital	xx	Drawings	xx
Trading profit	xx	trading loss	xx
Surplus from sale of assets	xx	Deficit from sales of asset	xx
Personal assets used as security (e.g life policy)	xx	Bill discounted	xx
Other income/receipts	xx	Expenses incurred	xx
Deficit per statement of affairs	xx	Surplus per statement of affairs	xx
	Xxx		xxx

Illustration

Ben commenced business on 1st January 1995 with a capital of ₦336, 000. His profits for the year to 1999 were ₦ 40,000 ₦ 32,000 ₦ 18,000 ₦ 14,000 and ₦ 40,000 respectively and his drawings averaged ₦ 22,000 per annum.

Illustration 1

On 31st December 1999 a receiving order was made against him when the affairs were as follows

	₦
Unsecured creditors	200,000
Mortgage on freehold property	40,000
Creditor partly secured (security: life policy estimated to realized ₦ 40,000)	120,000
Creditors for salaries and wages	4,800
Bill receivable discounted and expected to realized	32,000
Plant and Machinery (cost ₦ 80,000), estimated to realize	20,000
Freehold factory (cost ₦ 400,000), estimated to realize	200,000
Book debts: Good	60,000
Doubtful (₦ 20,000) to realize	6,000

BANKRUPTCY

Bankruptcy is a proceeding initiated by creditor or group of creditors in the Federal High court seeking the assistance of the court in declaring the debtor bankrupt.

OBJECTS OF BANKRUPTCY LAWS

The objects or purposes of Bankruptcy laws may include:

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- To ensure an equitable of property of an insolvent person amongst his creditors
- To relieve an insolvent person from the burden of his debt and liabilities. Thus enabling him to start afresh a new life
- To protect the debtor from his creditors for any eventualities
- To investigate the conduct of the debtors and his affairs, spelling out punishment where there has been fraud or corruption on his part, thus protecting the interest of the creditors and of the public

AN INSOLVENT PERSON

An insolvent person is one who cannot meet his debts as when they fall due. Order of adjudication is a judicial declaration by the court that a debtor is insolvent while the court takes his property for the benefit of his creditors

PEOPLE WHO MAY BE DECLARED BANKTRUPT

a. Every person (excluding corporate bodies), who has the capacity to contract may be declared bankrupt, in particular the following type of people should be noted

Aliens: An alien may be declared bankrupt, if

- He is domiciled in Nigeria i.e. if he has a dwelling house in Nigeria
- He has carried on business in Nigeria
- He has a place of business in Nigeria

b. Imprisoned criminals: They can be made bankrupt in the usual way

c. Minors: They can be made bankrupt only in respect of legally enforceable debts, such as contract for necessaries and unsatisfied judgment in tort, such as libel or negligence

d. Person of unsound mind: they can be made bankrupt for debts incurred whilst of a sound mind

e. Deceased persons: A dead person cannot be made bankrupt, but if his liability exceeds his asset as at the time of death, then his estate can be administer in bankruptcy

BANKRUPTCY PROCEEDINGS

For a debtor to declared bankrupt, the following steps or proceeding must be taken in law;

BANKRUPTCY PETITION: bankruptcy proceeding is commenced by the fillings of a bankruptcy petition before the Federal High Court. This is the first step in bankruptcy proceeding

RECEIVING ORDER: This is an order of the court in bankruptcy proceedings whereby the debtors' estate is placed under the custody and control of the court. The officer of the court, which exercises the power of court custody and control over the debtor's estate on behalf of the court, is known as the Official Receiver.

Effects of receiver order include

- That the official receiver becomes the receiver of the property of the debtor

- All legal proceeding against the debtor or his property is stayed in respect of the debts provable in the bankruptcy but without prejudice to a secure creditors' right to deal with his security
- The order does not make the debtor bankruptcy and therefore still remains ownership of his property though the possession and control are taken away from him

PREPARATION AND PRESENTATION OF STATEMENT OF AFFAIRS : A statement of Affairs showing the assets and liabilities of the debtor will be prepared and submitted to the official receiver within (3) days of the receiving order if made on the debtor's petition, or seven (7) days if made on the creditor's petition.

MEETING OF THE CREDITORS: as soon as practicable after the grant of a receiver order, the official receiver must summon the first meeting of creditors. The purpose of this meeting is to consider any proposal for a composition or scheme of arrangement put forward by the debtors to avoid adjudication. If the meeting accepts a composition or a scheme arrangement, the bankruptcy proceeding shall terminate, but where it is decided that the debtor should be adjudge bankrupt, the meeting can also appoint the trustee in bankruptcy or a committee of inspection.

PUBLIC EXAMINATION: public examination is a proceeding in the open court with a view to examine the truthfulness or otherwise of the statement made by the debtor and the claims made by the creditors. Question may be put to the debtor, by either the official receiver or the creditors, as to his conduct, his business affairs and is property. If however the debtor fails without sufficient cause to appear, the court may issue a warrant for his arrest, if he fails to disclose his affairs or to attend the public examination, the court may adjourn the examination and this will prevent the debtor from obtaining discharge.

FUNCTIONS OF TRUSTEE IN BANKRUPTCY

Section 58 of the bankruptcy Act 1979 stated the function to include.

1. To carry on business of the bankrupt as far as maybe necessary for the beneficial winding up of the business
2. To institute or defend any action or other legal proceedings relating to the property of the bankrupt
3. To employ a legal practitioner or other professional or agent to carry out any business as sanctioned by the committee of inspection
4. To accept the consideration for the sale of any property of the bankrupt a sum of money payable at future time as deemed appropriate
5. To mortgage or pledge any part of the property of the bankrupt for the purpose of raising money for the payment of his debt
6. To keep proper account

Bad	
Fixtures and fittings (Cost ₦ 8,000)	50,000
Stocks (Cost ₦ 80,000) estimated to realize	3,500
Cash in hand	55,500
	800

From the above particulars, prepare a Statement of Affair and a deficiency account

Illustration 2

A receiving order was made against Mr. Desmond on 31 December 20x6. Asset and liabilities show the following

LIABILITIES		ASSET	BOOK VALUE	ESTIMATED TO REALISE
	₦		₦	₦
Creditors	2,300	Debtor	1,500	1,200
Bank overdraft	520	Stock	410	300
Loan secured by Mortgage on Building	1,000	Cash	25	25
Capital	295	Building	1,560	1,100
		Goodwill	520	-
		Patent	100	230
	4,115		4,115	

Of the creditors, ₦ 360 are preferential; the bank overdraft has no security. The capital of Mr. Desmond, three years ago was ₦ 1,000, his losses for the last two years being ₦ 705 and the profit for the year amount to ₦ 700, his drawings over the period of the three years were 700.

You are required to

(a) Prepare the Statement of Affairs

(b) Prepare Deficiency Account

MULTINATIONAL COMPANIES AND INFLATION ACCOUNTING

A multinational corporation (MNCs) or multinational enterprise (MNE) is a corporation enterprise that manages production or delivers services in more than one country. It can also be referred to as an international corporation.

The International Labour Organization (ILO) has defined an MNC as a corporation that has its management headquarters in one country, known as the home country and operates in several countries known as host countries.

Some multinational corporations are very big, with budgets that exceed some nation's gross domestic products (GDPs). Multinational corporations can have a powerful influence in local economies, and even the world economy and play an important role in international relations and globalization.

It is important to distinguish a transnational corporation (TNC) from a traditional MNC. A transnational corporation differs from a traditional MNC in that it does not identify itself with one national home while traditional MNCs are national companies with foreign subsidiaries. TNCs spread out their operations in many countries sustaining high policies, or have different judgments in applying accounting policies or making accounting estimates. For example:

- ❖ Entities might have different policies about the revaluation of non-current assets.
- ❖ Entities might use different methods of depreciation.
- ❖ Entities might use different judgments in estimating the expected profitability on incomplete construction contracts.
- ❖ Entities might use different judgments in assessing whether a liability should be treated as à provision or a contingent liability.

2. Other limitations in the use of financial ratios

There are other problems with the use of financial ratios, particularly where these are used to compare the performance and position of different entities or of an entity with an industry average.

a. It is possible to calculate the same ratio in different ways. For example, there are several variations of return on capital employed (ROCE) and gearing. Comparisons can be misleading if different calculations are used.

b. Even where two entities operate in the same industry, comparisons can be misleading. Entities can operate in different markets (for example, high volume/low margin sales and low volume/high margin sales). The size of an entity can affect the way it operates and therefore its ratios. For example, large entities can often negotiate more favourable terms with suppliers than small ones.

c. Financial statements are published infrequently. If ratios are used to study trends and developments over time, they are only useful for trends or changes over one year or longer, and not changes in the short term.

d. Ratios can only indicate **possible** strengths or weaknesses in financial position and financial performance. They might raise questions about performance, but do not provide answers. They are not easy to interpret,

Corporate social responsibility accounting

National association of accountant defined Social responsibility accounting as the identification, measurement, monitoring and reporting of social and economic effects of an institution on a society.

Broadly speaking a company owes social responsibilities to the following

1. **Responsibility towards the consumers:**

Nowadays, there is movement towards "consumerism" consumer expect that (a) product and services of good quality should be available (b) Goods must be reasonably priced (c) Goods must be properly packed (d) Goods must be of sufficient variety (e) The sales of goods must be properly followed by the proper service in case of needs (f) there must be proper direction or instruction on the use of goods (g) there should be fair and widely dispensed network of distributive system (h) the management should not indulge in unfair trade practices like profiteering hoarding or creating artificial scarcity (i) the management should not misled the customer by false exaggerated and misleading advertisements.

2. Responsibility towards the Employees:

According to Professor Frederics Harbison "Human resources constitute the ultimate basis for wealth of Nation Capital and Nation Resources are the passive factors of production, human being are the active agents who accumulate capital, exploit natural resources, build social, humic and political organization and carry forward national development clearly a country which is unable to develop the skill and knowledge of its people to utilized them effectively in the national economy shall be unable to develop anything else

3. Responsibility towards shareholders

Responsibility towards shareholder is of prime importance, it is the duty of the company to provide them a fair return on their investment managements should provide full information relating to trading activities etc. it will be helpful for the shareholders to take decision. Social Accounting and reporting is needed by present and potential investors. Social Disclosure has great impact on investment decision.

4. Responsibility towards society

No business can develop in isolation. Business no doubt an economic activity has to develop in a social environment. In this age of revolution of rising expectation. It is the duty of every business that is decision and activity must meet the needs and interest of the society.it is true that it is the society which help business when is flourishing and protect at the time of falling, so if any business want to succeed, it must respond to the society's need and give to the society want it really wants. No enlightened company management remained aloof to the societal problem such as unemployment, overpopulation, rural development, environmental protection including conservation of resources, control of population and provision of drinking water

5. Responsibility towards the local community

In addition to the responsibility of business to the society, it has responsility towards community also. Irresponsibility and negligence on the part of corporate sector may bring serious industrial hazards to the community.

6. Responsibility to the environment

Environmental pollution is increasing with the growth of industrialization. The industries produces considerable quantum of pollution in form of sulphurous gases, traces of carbon mono-oxide and harmful components of affluent are emitted and discharged by plant engaged in industrial products like fertilizers, pesticides and alcohol. It is the duty of management that they should develop certain methods for reductions in environmental pollution and minimization of ecological imbalances. The corporate sector should be required to disclose information in the sphere of curbing industrial pollution, whether it is a water pollution or air pollution of any other form or pollution

7. Responsibility towards competitors

Now a day there is a cutthroat competition between the traders. They adopt malpractices to malign the trade of their competitors. Management must realize that suppression of competition through unethical undesirable and illegal means is not going to lead them anywhere and even a

8. **Responsibility towards Management Education**
It is the duty of the management to share their experiences with the students of Management Education. Management should frequently attend the seminars and conferences so that they can discuss their problems with management students and management students can learn from their experiences. It will be helpful in growth of business and industry.

9. **Responsibility towards Research and development**
Business has a responsibility towards the general public also. It can discharge its duty by developing and improving products and technology and pass its benefits to the public in form of improved and better quality products as well as in the form of reduced prices, for doing this, management should do expenditure on research and development, develop new products, improving the existing products, develop news processes and improved techniques. Fundamental research can be done in universities and institutions but company should also conduct research in its own laboratories.